USDC Growth Analysis

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Team 10 | Enterprise Database Management

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Persona:

- **Persona:** The Competitive Intelligence Analyst
- **Mission:** To understand USDC's competitive positioning and market share trends against rivals like USDT.
- **Time Period**: Last 180 days

Key Questions:

- How is USDC transaction volume changing over time?
- How many users (wallets) actively use USDC?
- How concentrated is USDC usage among top wallets?
- How does USDC compare to other stablecoins in market share?

Key Insights

- **Volume Resilience & Anomaly:** Baseline daily volume remains stable at **$50B - $100B**, with extreme macro-driven spikes (e.g., passing **$300B** during the SVB crisis).
- **Sticky Retail Base:** User adoption shows steady engagement, consistently maintaining **100K - 200K** daily active wallets despite market turbulence.
- **Hyper-Concentration:** Transaction volume follows a steep power-law distribution, where the **Top 4 wallets alone process over 1 Trillion** in volume, driving the majority of USDC's market activity.

Recommendation:

- **Implement VIP Retention & Attack:** Pivot from passive monitoring to active defense. We must launch dedicated VIP liquidity programs for the Top 20 mega-wallets to secure our volatile (~60%-80%) market share and prevent defection to USDT during stress events.

Methods

Data

- We used transaction data (e.g., USDC transaction volume, active wallets, and transaction size)
- Data was collected from public blockchain dashboards (e.g., Dune Analytics)
- Focused on recent trends to understand real usage patterns

Tables

- erc20_ethereum.evt_Transfer

Any Key Limitations

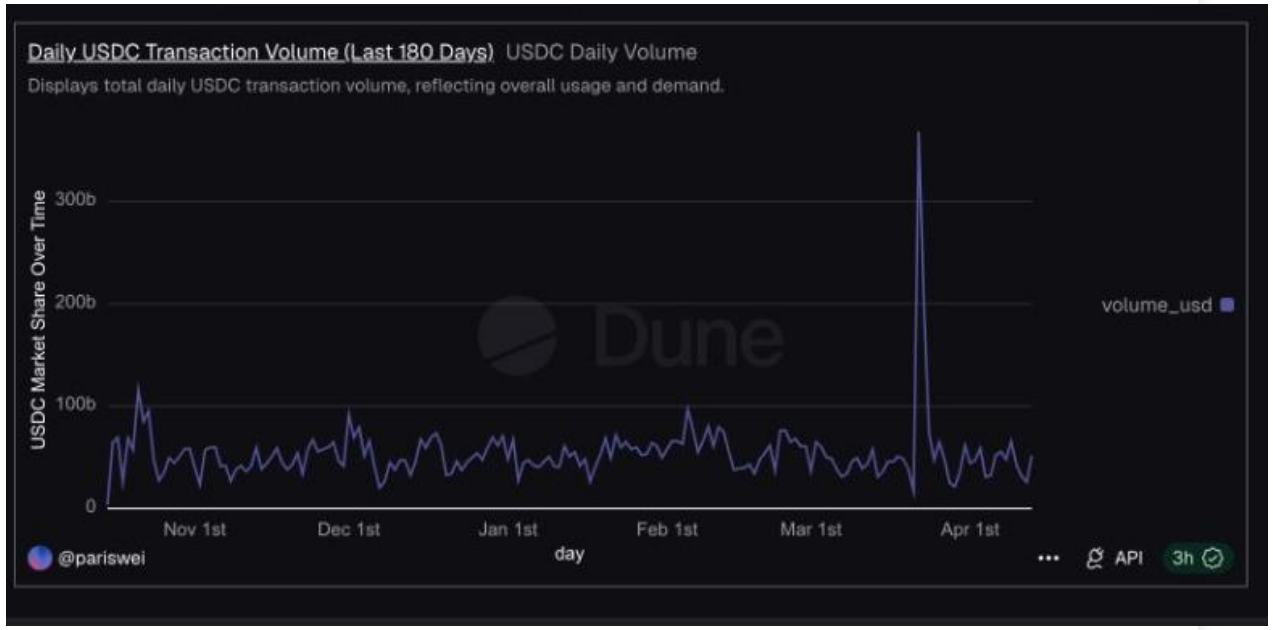
- Data may not capture all transactions (depends on data source)
- Cannot fully distinguish real users vs bots
- Short time range may not reflect long-term trends
- Analysis is descriptive, not predictive

Transaction Volume Trend

Daily USDC Transaction Volume

- Daily USDC volume generally ranges between **$50B - $100B**
- A major spike occurs around **mid-to-late March**, exceeding **$300B+**
- Outside of spikes, volume remains relatively stable over time

Key Insight: The massive >$300B spike in mid-March highly correlates with the Silicon Valley Bank (SVB) crisis. This proves our volume is highly reactive to institutional whale movements during macro stress events.

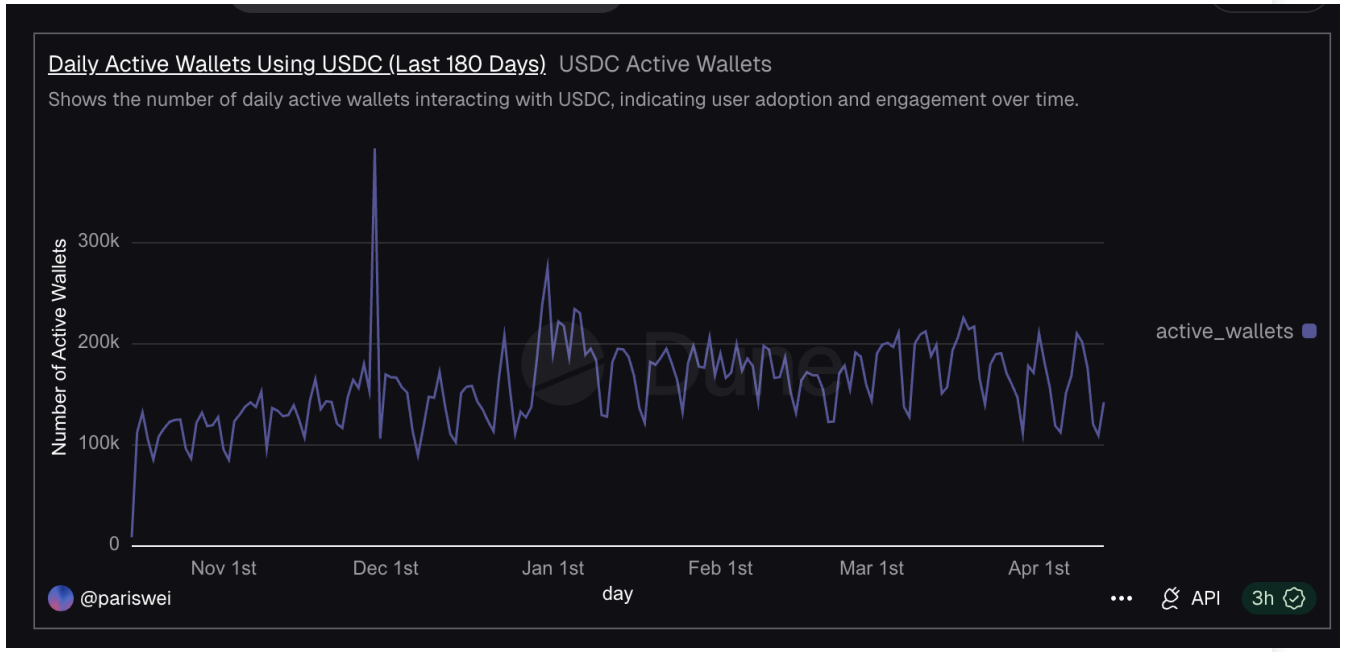


User Adoption

Active Wallets:

- Daily active wallets mostly range between **100K – 200K users**
- A peak reaches approximately **350K wallets** during a short surge
- Overall adoption remains stable with moderate fluctuations

Key Insight: Despite extreme volume volatility in March, our active user base remains "sticky" and resilient. Retail utility is incredibly stable.

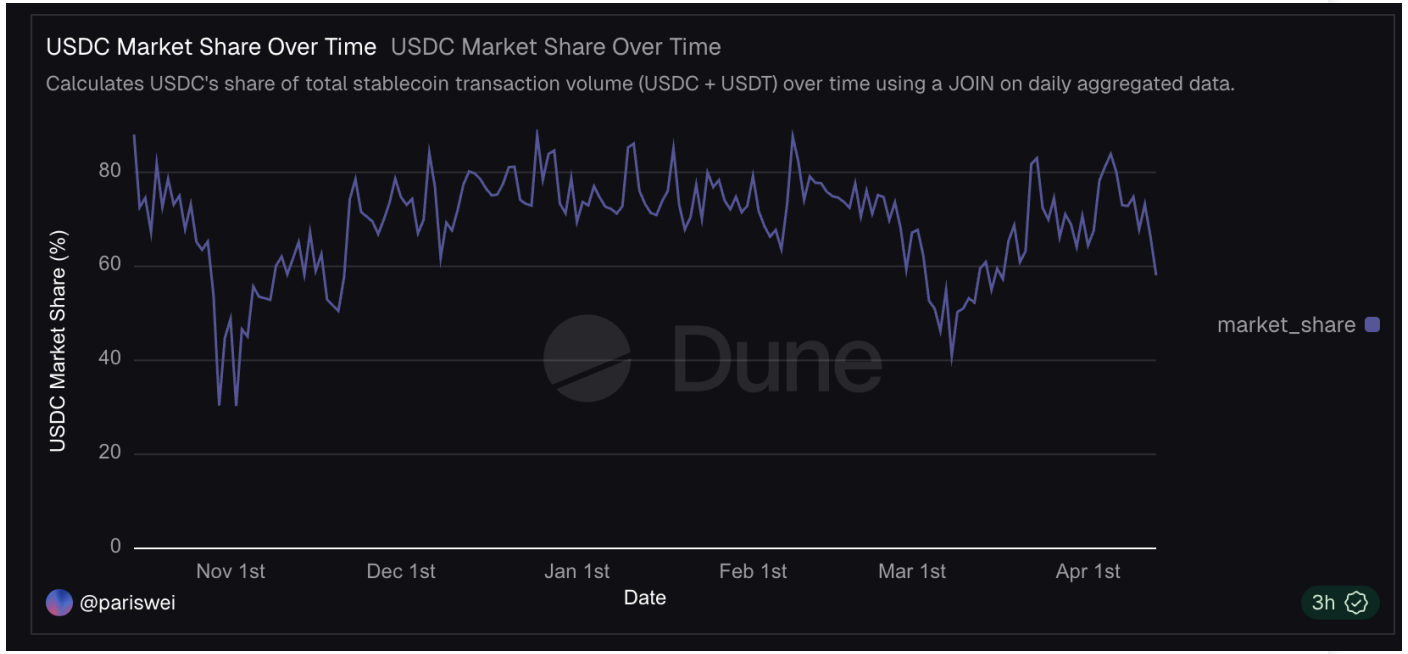


Market Share Analysis

Market Share:

- USDC market share fluctuates between **~30% and ~85%**
- Most of the time, it remains around **60% – 80%**
- A sharp drop occurs in early March, followed by quick recovery

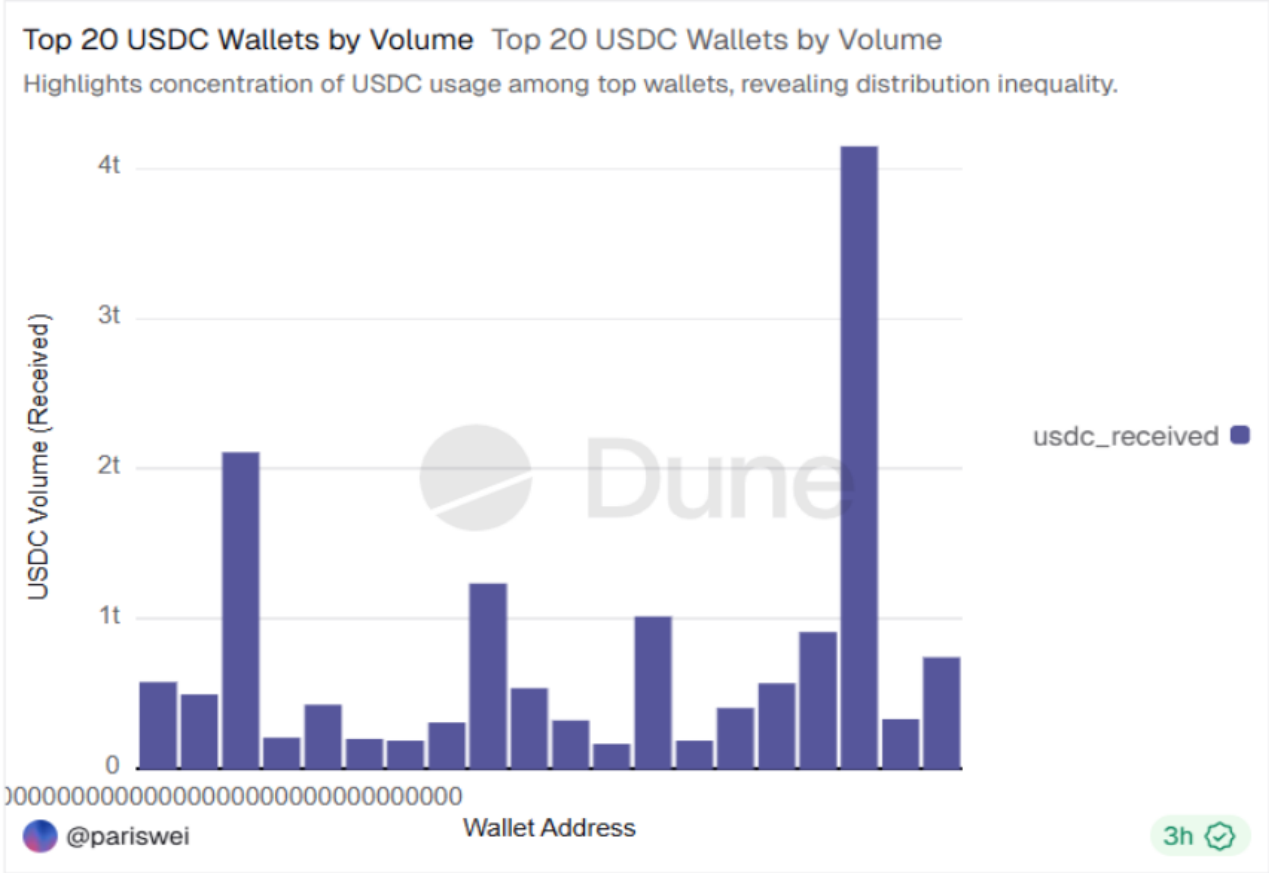
Key Insight: The sharp drop to ~30% share in March reflects a temporary "flight to USDT" panic during the USDC depeg event. However, the rapid V-shape recovery proves strong underlying market trust.



Wallet Concentration

- **Extreme Concentration:** The #1 single wallet accounts for an overwhelming **>4T (Trillion)** in received volume.
- **Steep Drop-off:** Only the **Top 4 wallets** exceed 1T, while the remaining top 20 drop significantly below 0.8T.
- **Power-Law Distribution:** USDC activity is heavily reliant on a micro-fraction of mega-wallets rather than broad retail distribution.

Key Insight: USDC volume is hyper-centralized among a few mega-entities (likely top exchanges or DeFi protocols). From a competitive standpoint, our priority must be retaining these specific "VIP" wallets, as losing even one to USDT would trigger a catastrophic drop in our market share.



Conclusion & Next Steps

Executive Conclusion: USDC has a sticky retail base, but our market share battle against USDT will be won or lost based on how well we incentivize and retain institutional mega-wallets during high-volatility events.

Next Steps:

1. **Defend VIP Whales:** Launch targeted retention programs (e.g., fee rebates or VIP liquidity support) for the Top 20 wallets that control our volume, actively preventing their defection to USDT.

2. **Capitalize on Macro Shifts :** Develop rapid-response strategies for market stress events (like the March anomaly). We must actively capture market share when competitors face liquidity crunches.

3. **Expand Multi-Chain Intelligence:** Shift analysis beyond Ethereum. We need to identify emerging Layer-2 networks where USDT currently outpaces USDC adoption and attack those gaps.

SQL Appendix

Key SQL queries used in this analysis

Business Question:
How has daily USDC transaction volume changed over the last 180 days?

```
-- Logic:
-- Filter USDC transfer events on Ethereum,
-- group by day, and sum transaction volume in USD.

SELECT
  date_trunc('day', evt_block_time) AS day,
  COUNT(*) AS transfer_count,
  SUM(value) / 1e6 AS volume_usd  -- USDC has 6 decimals
FROM erc20_ethereum.evt_Transfer
WHERE contract_address = 0xa0b86991c6218b36c1d19d4a2e9eb0ce3606eb48
  AND evt_block_time >= NOW() - INTERVAL '180' DAY
GROUP BY 1
ORDER BY 1
```

Business Question:
How many unique wallets interact with USDC each day?

```
-- Logic:
-- Count distinct wallet addresses (both sender and receiver)
-- involved in USDC transfers, grouped by day.

WITH transfers AS (
  SELECT
    date_trunc('day', evt_block_time) AS day,
    "from" AS wallet
  FROM erc20_ethereum.evt_Transfer
  WHERE contract_address = 0xa0b86991c6218b36c1d19d4a2e9eb0ce3606eb48
    AND evt_block_time >= NOW() - INTERVAL '180' DAY

  UNION

  SELECT
    date_trunc('day', evt_block_time) AS day,
    "to" AS wallet
  FROM erc20_ethereum.evt_Transfer
  WHERE contract_address = 0xa0b86991c6218b36c1d19d4a2e9eb0ce3606eb48
    AND evt_block_time >= NOW() - INTERVAL '180' DAY
)

SELECT
  day,
  COUNT(DISTINCT wallet) AS active_wallets
FROM transfers
GROUP BY day
ORDER BY day
```

USDC Market Share
Calculates USDC share of total stablecoin volume (USDC + USDT)

```
WITH usdc AS (
  SELECT
    date_trunc('day', evt_block_time) AS day,
    SUM(CAST(value AS DOUBLE))/1e6 AS usdc_volume
  FROM erc20_ethereum.evt_Transfer
  WHERE contract_address = 0xa0b86991c6218b36c1d19d4a2e9eb0ce3606eb48
  AND evt_block_time >= NOW() - INTERVAL '180' DAY
  GROUP BY 1
),

stablecoins AS (
  SELECT
    date_trunc('day', evt_block_time) AS day,
    SUM(CAST(value AS DOUBLE))/1e6 AS total_volume
  FROM erc20_ethereum.evt_Transfer
  WHERE contract_address IN (
    0xa0b86991c6218b36c1d19d4a2e9eb0ce3606eb48, -- USDC
    0xdac17f958d2ee523a2206206994597c13d831ec7  -- USDT
  )
  AND evt_block_time >= NOW() - INTERVAL '180' DAY
  GROUP BY 1
)

SELECT
  u.day,
  u.usdc_volume,
  s.total_volume,
  (u.usdc_volume / s.total_volume) * 100 AS market_share
FROM usdc u
JOIN stablecoins s
ON u.day = s.day
ORDER BY u.day
```

AI Usage Reflection

How We Used AI

- We first decided our persona, main questions, and what metrics we wanted to analyze as a group before using any AI tools.
- We used AI mainly to better understand concepts like stablecoins and to confirm which metrics would make sense for our analysis.
- When building our queries, we tried writing them ourselves first, and then used AI to help debug errors and improve the structure.
- We also used AI to review our findings. For example, it pointed out that spikes in transaction volume might come from a few large transactions instead of overall growth, so we adjusted our interpretation.
- Finally, we used AI to improve the wording and clarity of our explanations, but all the analysis and conclusions are based on our own understanding.